

Technically, more than one engine of growth can operate in a business at a time. For example, there are products that have extremely fast viral growth as well as extremely low customer churn rates. Also, there is no reason why a product cannot have both high margins and high retention. However, in my experience, successful startups usually focus on just one engine of growth, specializing in everything that is required to make it work. Companies that attempt to build a dashboard that includes all three engines tend to cause a lot of confusion because the operations expertise required to model all these effects simultaneously is quite complicated. Therefore, I strongly recommend that startups focus on one engine at a time. Most entrepreneurs already have a strong leap-of-faith hypothesis about which engine is most likely to work. If they do not, time spent out of the building with customers will quickly suggest one that seems profitable. Only after pursuing one engine thoroughly should a startup consider a pivot to one of the others.

ENGINES OF GROWTH DETERMINE PRODUCT/MARKET FIT

Marc Andreessen, the legendary entrepreneur and investor and one of the fathers of the World Wide Web, coined the term product/market fit to describe the moment when a startup finally finds a widespread set of customers that resonate with its product:

In a great market—a market with lots of real potential customers—the market pulls product out of the startup. This is the story of search keyword advertising, Internet auctions, and TCP/IP routers. Conversely, in a terrible market, you can have the best product in the world and an absolutely killer team, and it doesn't matter—you're going to fail.³

When you see a startup that has found a fit with a large market, it's exhilarating. It leaves no room for doubt. It is Ford's Model T